

Beyond the Bubble: The Mental Health Tech Mania

Was the South Sea Company's collapse a failure of judgement among policymakers, or investor greed, or the company's own leadership? Whether it was the result of systemic flaws or just a series of missteps by individuals, the cycle is one we've seen before: ambitious promises that captivate investors, a wave of euphoric investment and excitement, and then a crash that reveals there was never much real substance underneath. The same pattern seems to have emerged across the mental health sector with companies like BetterHelp, Cerebral, and Headspace promising to revolutionize and democratize therapy by making it accessible through smartphones.

As the economist Charles P. Kindleberger noted, financial manias begin when "euphoria" takes hold and investors start buying assets "to profit from the capital gains associated with the anticipated increase in the prices of these goods and securities,"¹ rather than focusing on their actual worth. The COVID pandemic created that exact environment for digital mental health companies. Their mobile applications experienced explosive growth. Headspace saw a 500% surge in partnership requests with businesses², Calm reached 100 million downloads³, and Cerebral signed up over 300,000 patients. As a result, investors bet on massive expansion, leading to dominance in the market.

But reality has now caught up with the sector. The industry-wide crash is clear: Headspace cut 13% of its staff and completely ended its program with staff therapists.⁴ Cerebral, once valued at

¹ Charles Poor Kindleberger and Robert Z. Aliber, "The Anatomy of a Typical Crisis," in *Manias, Panics, and Crashes : a History of Financial Crises*, 5th ed., by Charles Poor Kindleberger and Robert Z. Aliber (Wiley, 2009), [Page 41].

² Ari Levy, "Companies are offering benefits like virtual therapy and meditation apps as Covid-19 stress grows," *CNBC*, October 10, 2020, <https://www.cnn.com/2020/10/10/covid-stress-companies-turn-to-virtual-therapy-meditation-apps.html>.

³ Akshita Gandra, *Calm*, August 25, 2023, <https://research.contrary.com/company/calm>.

⁴ Rylee Wilson, "Headspace lays off 13% of workforce," *Beckers Behavioral Health*, Becker's Healthcare, last modified November 22, 2024, <https://www.beckersbehavioralhealth.com/behavioral-health-news/headspace-lays-off-13-of-workforce/>.

\$4.8 billion, laid off 20% of its workforce and is facing ongoing government investigations.⁵ And BetterHelp saw its paying user count drop 14% and revenue decline 9% to \$265 million in 2024.⁶ Even the huge meditation company Calm has struggled to turn its free users into a consistent source of revenue.

These operational failures have wreaked serious financial losses on investors. Many were luring in during the height of the pandemic-driven booms, boosted by aggressive media coverage and a flood of venture capital that promised mental health tech would be the next frontier. These investments in turn enabled selling of additional shares (called secondary offerings) that attracted even more money at inflated valuations; money which came from both large investment groups and regular people hoping to ride the wave. But as the sector cooled down, the capital that was previously invested is now tied up in assets that are difficult to sell quickly without a loss in value. Just like past financial bubbles, the promotional excitement and hype hid the reality of the market.

The human cost is what marks this crash much more tragic than a financial bubble. As CNBC called out, “The share of workers taking leaves of absence increased... between 2019 and 2024, with a 300% jump for mental health alone, according to a new analysis from ComPsych”.⁷ When mental health apps implode and services get cut, people lose access they genuinely need. Patients with cerebral conditions faced disruptions to their treatment as companies quickly released clinicians. Headspace users for example lost access to live therapy sessions when the company

⁵ Blake Dodge and Shelby Livingston, "How Cerebral went from a hyped \$4.8 billion mental-health startup to fighting for its survival," *Business Insider*, December 22, 2022, <https://www.businessinsider.com/cerebral-challenges-as-mental-health-startup-repairs-reputation-2022-12>.

⁶ Emily Olsen, "Teladoc withdraws 2024 outlook, logs impairment charge amid downturn at BetterHelp," *Healthcare Dive*, Informa TechTarget, last modified August 1, 2024, <https://www.healthcaredive.com/news/teladoc-q2-2024-earnings-betterhelp-withdraws-outlook/723024/>.

⁷ Jennifer Lui, "The share of workers taking mental health leave is up 300% from pre-pandemic levels," *CNBC*, September 10, 2025, <https://www.cnbc.com/2025/09/10/the-share-of-workers-taking-mental-health-leave-is-up-300percent-from-pre-pandemic-levels.html>.

decided to pivot away from human-delivered care (staff therapist corps). Unlike stocks that lose value, therapeutic relationships cannot be easily paused or restarted without consequences.

The sector-wide restructuring exposes what should have been clear from the start: mental health care is complicated with real people on both sides (patients and service providers), and involves controlled work that can't simply be scaled fast through massive venture capital funding and sleek app design. The companies that survive this correction will be ones that have built real clinical infrastructure, not those with just a digital patient facing app and a strategy geared towards growth at all costs.

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